

From fast follower to fast leader: My journey into China's biotech boom

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Key takeaways

China's strategic focus on biotech has resulted in research and development (R&D) investments and other policies that have helped build the infrastructure (labs, talent pipelines, and capital) for the sector to scale rapidly.

Biotech companies in China are advancing pipelines that include dozens, sometimes hundreds, of drug candidates through Phase 2 trials, then out-licensing them for late-stage development.

If the United States wants to maintain leadership in biotechnology, it must follow China's example in supporting innovation, speed and efficiency.

Setting the stage

When I first visited China nearly two decades ago, the country's pharmaceutical sector was in a very different place. It was small in scale, focused almost entirely on the domestic market, and dominated by generic drugs or medicines in-licensed from Western companies. Local firms had limited research capabilities, and global biotech investors barely considered China a serious player.

Fast forward to 2025, and the transformation is staggering. Biotechnology has become one of Beijing's top strategic priorities, supported by major government initiatives like "Made in China 2025" and the "14th Five-Year Bioeconomy Plan."

"Made in China 2025" was a sweeping industrial policy launched to reduce the country's dependence on foreign technology and elevate domestic innovation. For biotech, this meant direct investment into R&D, generous tax incentives, subsidies for drug development, and the creation of high-tech industrial parks dedicated to life sciences. The policy helped lay the infrastructure (labs, talent pipelines, and capital) for China's biotech sector to scale rapidly.

"The 14th Five-Year Bioeconomy Plan" built on that foundation by making biotech one of the "pillar industries" for national growth. It called for accelerated development in precision medicine, novel therapies, and next-generation manufacturing. It also encouraged faster regulatory approval timelines, improved intellectual property protections, and policies to attract and retain top global scientific talent.

Together, these programs have fueled an innovation ecosystem unlike anything China has ever seen—one that is reshaping the global competitive landscape.

This year, I traveled to Shanghai and met with more than 50 public and private biotechnology companies. As I explain in this paper, what I found was an industry brimming with ambition, scale and speed, along with important implications for US and European biotech companies.

A market growing up

On the flight home from Shanghai, one thought kept coming back: Chinese biotech is growing up fast. The country now has a powerful R&D engine, an efficient clinical trial ecosystem, and a pipeline of molecules that matter for global health.

This certainly raises the level of competition in global biotech, but that competition can make the whole industry stronger. I expect investors to increasingly favor companies pursuing truly novel science, while leaving incremental "me-too" approaches behind, especially as Chinese firms can develop those cheaper and faster.

For patients, this means the potential for bigger breakthroughs. For investors, it means a market full of both risks and opportunities. And for policymakers, it is a wake-up call: if the United States wants to maintain leadership in biotechnology, it must follow China's example in supporting innovation, speed and efficiency.

WHAT ARE THE RISKS?

All investments involve risks, including possible loss of principal.

Equity securities are subject to price fluctuation and possible loss of principal.

Small- and mid-cap stocks involve greater risks and volatility than large-cap stocks.

Investment strategies which incorporate the identification of thematic investment opportunities, and their performance, may be negatively impacted if the investment manager does not correctly identify such opportunities or if the theme develops in an unexpected manner. Focusing investments in the health care, information technology (IT) and/or technology-related industries carries much greater risks of adverse developments and price movements in such industries than a strategy that invests in a wider variety of industries.

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